

The Attorney General of California has prepared the following title and summary of the chief purpose and points of the proposed measure:

CHANGES EMPLOYMENT CLASSIFICATION RULES FOR APP-BASED

TRANSPORTATION AND DELIVERY DRIVERS. INITIATIVE STATUTE. Establishes different criteria for determining whether app-based transportation (rideshare) and delivery drivers are “employees” or “independent contractors.” Independent contractors are not entitled to certain state-law protections afforded employees—including minimum wage, overtime, unemployment insurance, and workers’ compensation. Instead, companies with independent-contractor drivers will be required to provide specified alternative benefits, including: minimum compensation and healthcare subsidies based on engaged driving time, vehicle insurance, safety training, and sexual harassment policies. Restricts local regulation of app-based drivers; criminalizes impersonation of such drivers; requires background checks. Summary of estimate by Legislative Analyst and Director of Finance of fiscal impact on state and local governments:

Increase in state personal income tax revenue of an unknown amount. (19-0026A1)